

Ford Motor Co**Ford to spend \$2bn overhauling Kentucky plant in push for cheaper EVs**

New range will include a midsize, four-door electric pick-up priced from \$30,000



A Ford F-150 Lightning Platinum electric pick-up truck. Ford will use a 'new universal EV platform' to produce a midsize, four-door electric pick-up © Andrej Ivanov/Bloomberg

Peter Wells in New York

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Ford has announced plans to invest \$2bn in overhauling one of its US sites, part of its push to produce affordable electric vehicles that can better compete with Chinese rivals.

The company said it would use a “new universal EV platform” to produce a midsize, four-door electric pick-up, with a price tag starting from about **\$30,000**. The chassis would be subsequently rolled out across “a family of affordable vehicles to be produced at scale for customers”, it added.

Ford’s announcement comes at a crucial time for EV makers. US groups, already facing strong competition from lower cost Chinese rivals such as BYD, have been grappling with President Donald [Trump’s tariffs](#) and the ending of policies favourable to electric cars.

Chief executive [Jim Farley](#) had previously hailed Ford's new universal EV platform as a "Model T" moment for the company. The platform involves building vehicles with fewer parts and a streamlined manufacturing process, which the group hopes will cut the cost of producing EVs.



Chief executive Jim Farley speaks at the Louisville assembly plant © Darron Cummings/AP

[Ford](#) said the new EV platform would use 20 per cent fewer parts than a "typical" vehicle and would result in the assembly line being 15 per cent faster.

In its most recent quarter, Ford's Model EV business reported an **operating loss of \$1.3bn**, while its other two divisions — **petrol and hybrid vehicles, and commercial vehicles** — were profitable.

Ford will make its new mid-size EV pick-up, which is scheduled to roll off the production line in 2027, at its assembly plant in Louisville, Kentucky, which is being converted from a factory that produced petrol-powered vehicles.

The \$2bn retooling of the plant comes alongside Ford's **earlier \$3bn commitment** for its EV battery making factory in its home state of Michigan. The total \$5bn investment would result in the "creating or securing" of almost 4,000 jobs, the group said.

Farley acknowledged that Detroit carmakers had all too many times tried to make affordable vehicles that ended up with **idled plants**, job cuts and uncertainty. “This had to be a strong, sustainable and profitable business,” he said on Monday.

Ford already makes a higher percentage of vehicles in the US than Detroit rival General Motors, leaving it better positioned on international supply chains and therefore less exposed to the Trump administration’s tariff policies.

The decision to pour money into domestic production dovetails with the president’s push to bring manufacturing back to the US.

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